



practices to keep our employees engaged and happy.

What are some leadership skills needed in the EMS industry today?

Leaders in the EMS industry should upskill in various fields—processes, quality management, costing, technology, marketing, and customer relationship. A practical knowledge about all the fields enables them to ensure quality of work. Apart from hard skills, the leaders should also anticipate market trends. They should be able to envision ahead and understand the market in the near future. They should also be a better decision maker and risk taker. Like every good leader, they must develop strategic plans and be able to build a culture of enthusiasm and teamwork.

How easy or difficult is it to attract the right talent for EMS firms? Are schemes driven by the government to train blue-collared workforce helping you to get trained manpower?

Talent is not readily available for EMS players like us. We typically hire and then train them as per our needs. However, with growth in the industry, the need for trained resources is sharply increasing. Moreover, the youngsters seem to be more attracted towards IT or digital marketing.

Thankfully, there are a lot of skill development programmes offered both by the state and Central governments. Apprenticeships (promoted) by the government are popular and we are able to get dedicated teams from ITI and technical training institutes, especially from tier 2 cities and rural areas.

Given that most of the roles are blue-collared in EMS, are there positions that need skilled engineers or M.Tech too, for any of the production-related processes?

We don't require M.Techs. We do need a certain percentage of talented engineers. They are needed to setup our lines, plan our quality assurance

processes, and work in the Manufacturing Engineering department. They also help us at the end of the line for testing, debugging, and understanding the design, when the situation demands it.

What are the challenges that you are currently facing?

Unpredictability of the market and the changes in other sectors has to be the most prominent challenge. EMS is generally sandwiched between various players. Any change in the macro-economic and micro-economic policies impacts EMS and its survival. We are neither the product nor the design owners. We also are not marketing partners. Any surprises in these lines will directly impact the profitability of EMS, which often results in non-moving inventory. Any delay or challenge in the supply-chain will finally affect the EMS sector.

Also, EMS prices are negotiated based on the minimum order quantity (MOQ). When there is an internal or external disturbance, the EMS sector lands up with a huge mismatch in the inventory. History teaches us that many of the failed EMS have landed up in trouble mainly because of non-moving inventory or mismatched inventory.

With the possibility of electronics manufacturing sector reaching new heights in the next five years, the demand for trained and knowledgeable manpower is on the rise. Retaining resources is also a great challenge.

Any best practices established at Tescom to handle such challenges?

We proactively implement Design for Manufacturability and design review. This enhances our output yield whereby our inventory will get liquidated as planned.

Our purchase and inventory control processes are well set and defined. We are accredited by leading certifying bodies and we adhere to our process controls for inventory.

Moreover, our customised ERP software plays a role in setting certain limits and alerting us on non-moving inventory or value-wise high inventory.

Process and materials audits are conducted on a time to time basis, and we are aware of our back-end processes with the data flow.

Any suggestions for customers on why they need to treat EMS players as their partners and how they can enjoy a win-win relationship through better communication and projections?

A paradigm shift is happening between OEMs and EMS, and there is a sweeping transformation. All along, the EMS players were operating in the shadows of their OEMs. But now many OEMs involve EMS players in their discussions from the very beginning of the project.

OEMs should not view their EMS partners as outsourced production houses. They should consider EMS as an extension of their own production line. However, the OEMs can succeed only when the EMSs succeed. The EMS players should be aware of the market sensitivity and time schedules for product launch. This partnership is critical and crucial for the success of any product/project.

With today's component scenario being stressed, and logistics platforms getting tougher with various reasons, OEMs have to de-risk their products by engaging the EMS in the front end. This will make the EMS and the OEM equally responsible for the supply-chain, which will provide a win-win situation for both.

What are some points that OEMs should keep in mind while selecting the right EMS partner?

OEMs should not adopt the one-size-fits-all policy. Each OEM and their requirements are different, and the offering of each EMS is different. The match should be perfect between the two parties. OEMs should look at